

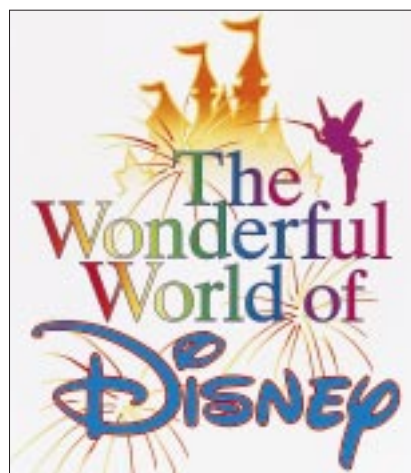
The *WALT DISNEY* Company

1997 Fact Book



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Top, right: Michael Eisner, chairman of the board and chief executive officer of The Walt Disney Company.

Above, right: *The Wonderful World of Disney* has returned to ABC's Sunday night line-up, providing the quality family entertainment for which Disney is known.

Above: Disney Cruise Line will make a splash with the launch of its first ship, *Disney Magic*, scheduled to embark on its maiden voyage in April 1998.

Supplemental Information

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Information on The Walt Disney Company is located on the World Wide Web at
<http://www.disney.com>

Introduction

The Walt Disney Company is a family entertainment company engaged, through its subsidiaries, in animated and live-action film and television production, character merchandise licensing, consumer products retailing and book, magazine and music publishing, television and radio broadcasting, cable television programming and the operation of theme parks and resorts.

Fiscal 1997 marked the first full year of combined Disney and ABC operations. For the year, Disney reported record results, with significant contributions from each of the company's three segments: Creative Content, Broadcasting and Theme Parks and Resorts.

In addition, Disney divested several non-strategic ABC publishing assets in fiscal 1997. The pro forma results in this book represent Disney's performance excluding any impact from these publishing assets.

Disney remains committed to its overriding objective of creating shareholder value by continuing to be the world's premier entertainment company from a creative, strategic and financial standpoint. The company strives to maintain and build upon the integrity of the Disney name and franchise, while preserving and fostering the fundamental values of quality, imagination and guest service. The company's primary financial objective remains 20% compound annual earnings per share growth over future five-year periods and, secondarily, steady improvement in return on equity.

Thank you for your interest in The Walt Disney Company.

Sincerely,

Winifred Markus Webb
Vice President, Investor Relations
and Shareholder Services



Top, right: *Hercules*, Disney's 35th full-length animated feature, flexed its muscle both domestically and internationally.

Middle, right: *George of the Jungle* was a swinging success, bringing in over \$100 million at the domestic box office.

Below, right: Meeting the characters is a special part of any Disney Theme Park visit.

Above, left: Richard Nanula, senior executive vice president and chief financial officer.

Above, right: Sanford Litvack, senior executive vice president and chief of corporate operations.

Disney Through the Decades

October 16, 1923: The Disney Brothers Studio is founded as a partnership by Walter E. Disney and Roy O. Disney when Walt signs a contract with M.J. Winkler to produce a series of animated short subjects entitled the *Alice Comedies*.

November 18, 1928: Mickey and Minnie Mouse debut in *Steamboat Willie*, Disney's first animated film with sound effects and dialogue.

December 16, 1929: The Disney Brothers partnership is replaced by four companies: Walt Disney Productions, Ltd.; Walt Disney Enterprises; Liled Realty and Investment Company; and the Disney Film Recording Company.

September 5, 1930: Pluto makes his cartoon short debut in *The Chain Gang*.

May 25, 1932: Disney introduces Goofy to the public in the cartoon short *Mickey's Revue*.

July 30, 1932: The first full-color animated film, *Flowers and Trees*, is released and later earns Walt Disney his first Academy Award® for Best Cartoon Short Subject.

June 1, 1933: The first Mickey Mouse Watch is sold by Ingersoll.

June 9, 1934: Donald Duck first appears in *The Wise Little Hen*.

December 21, 1937: *Snow White and the Seven Dwarfs*, the first feature-length animated film, premieres accompanied by the first comprehensive merchandise campaign.

July 19, 1938: Disney first contracts with art dealer Guthrie Courvoisier to sell animation cels.

September 29, 1938: Walt Disney Productions absorbs the three other Disney companies created in 1929.

April 2, 1940: Walt Disney Productions issues 155,000 shares of 6% cumulative convertible preferred stock in the over-the-counter market.

May 6, 1940: Walt Disney Productions completes its move to its new studio lot in Burbank.

November 13, 1940: *Fantasia* is released.

December 16, 1952: WED Enterprises is founded as a private company owned solely by Walt Disney to design and create Disneyland.

April 6, 1953: Retlaw Enterprises is founded as a private company solely owned by Walt Disney to control the merchandising rights to the name "Walt Disney."

November 10, 1953: Buena Vista Pictures Distribution distributes its first film, *The Living Desert*.

October 27, 1954: *Disneyland*, a one-hour weekly television series which ultimately aired for 29 seasons under six different titles, debuts on ABC.

July 17, 1955: Disneyland first opens its gates in Anaheim, California. Walt Disney Productions invests \$500,000 to own 34.5% of Disneyland, Inc., the company that owns Disneyland.

October 3, 1955: *The Mickey Mouse Club* first airs on ABC.

June 19, 1957: Walt Disney Productions exercises options to purchase an additional 31.0% stake in Disneyland, Inc. for \$528,810.

July 6, 1960: Walt Disney Productions purchases the remaining 34.5% interest in Disneyland, Inc. for \$7.5 million.

February 3, 1965: Walt Disney Productions acquires WED Enterprises from Walt Disney for approximately \$4 million.

December 15, 1966: Walt Disney dies.

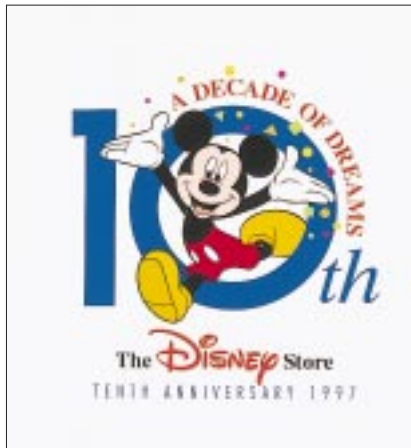
October 1, 1971: The Magic Kingdom opens at Walt Disney World.

December 20, 1971: Roy O. Disney dies.



Top: Walt Disney (pictured) and his brother, Roy O. Disney, founded the Company in 1923.

Middle: Imagineers work behind the scenes designing attractions, Disney stores and theme parks. Above: *Fantasia*, released in 1940, featured Mickey Mouse as the Sorcerer's Apprentice.



Top: In 10 years, The Disney Store has grown from just one store in Glendale, California, to over 600 stores around the world.

Middle: Epcot allows guests to explore the 21st century in Future World and "take a walk around the world" in World Showcase.

Above: The True-Life Adventure series included *The Living Desert*, the first film distributed by Buena Vista Pictures Distribution.

July 8, 1981: In exchange for 888,461 shares of its common stock, valued at \$46.2 million, Walt Disney Productions acquires the rights to Walt Disney's name, likeness and portrait, as well as the steam train and monorail systems at Disneyland, from Retlaw Enterprises.

October 1, 1982: Epcot opens at Walt Disney World.

April 1, 1983: Walt Disney Pictures is incorporated as a separate company responsible for the development, production and marketing of all live-action films and commercial television programming.

April 15, 1983: Tokyo Disneyland opens six miles from downtown Tokyo.

April 18, 1983: Disney Channel first broadcasts cable television programming.

March 9, 1984: Touchstone Pictures releases its first film, *Splash*.

June 6, 1984: Walt Disney Productions acquires Arvida Corporation from Bass family interests and Arvida's management in exchange for 3.3 million shares of Disney common stock, valued at \$200 million.

June 8, 1984: MM Acquisition Corporation, a company formed by Saul Steinberg of Reliance Group Holdings, announces its intent to take over and dismantle Walt Disney Productions by offering \$67.50 a share for Disney common stock.

June 11, 1984: Walt Disney Productions repurchases 4.2 million shares (approximately 11.1%) of Disney common stock from Reliance for \$328 million.

September 23, 1984: Walt Disney Productions welcomes Michael D. Eisner as chairman/CEO and Frank G. Wells as president/COO.

February 6, 1986: Walt Disney Productions changes its name to The Walt Disney Company.

March 28, 1987: The first Disney Store opens at the Glendale Galleria in Glendale, California.

January 21, 1988: The Walt Disney Company acquires the Wrather Corporation, whose assets include the Disneyland Hotel, land near Disneyland and leasehold interests in the Queen Mary and Spruce Goose, for approximately \$161 million in cash and \$89 million in debt.

June 1, 1988: The opening of Disney's Grand Floridian Resort ushers in an era of accelerated hotel buildout at Walt Disney World during which 11 new resort hotels have been added to date.

May 1, 1989: The Disney-MGM Studios Theme Park and the Pleasure Island entertainment complex open at Walt Disney World.

November 6, 1989: 51% of Euro Disney S.C.A.'s 170 million shares are offered to European investors at FF72 per share. A subsidiary of The Walt Disney Company owns the remaining 49%.

July 18, 1990: Hollywood Pictures releases its first film, *Arachnophobia*.

November 1, 1990: The first international Disney Store opens on London's Regent Street.

November 4, 1990: Disney Channel presents its first American Teacher Awards in a ceremony at the Pantages Theater in Hollywood.

May 6, 1991: The Walt Disney Company replaces USX Corporation in the Dow Jones 30 Industrials.

April 12, 1992: Euro Disney (later renamed Disneyland Paris) opens 20 miles outside of Paris, France.

Disney Through the Decades

September 15, 1992: Disney Channel presents the first annual performance of Disney's Young Musicians Symphony Orchestra.

September 30, 1992: Disney's Filmed Entertainment group becomes the first studio to earn over \$500 million in a single year.

December 9, 1992: The National Hockey League awards Disney a franchise that would later become The Mighty Ducks of Anaheim.

January 24, 1993: Mickey's Toontown opens at Disneyland.

June 30, 1993: Buena Vista Pictures Distribution acquires Miramax Film Corporation.

July 21, 1993: The Walt Disney Company raises \$300 million from a historic 100-year bond issue.

February 16, 1994: Disney commits \$500,000 to create Disney GOALS, a program designed to offer organized athletics, supplementary education and community service to local underprivileged youths.

April 3, 1994: Frank Wells, president and chief operating officer, dies.

April 18, 1994: Disney's first stage show, *Beauty and the Beast: A New Musical*, officially opens on Broadway, breaking attendance and box-office records.

June 2, 1994: Sunset Boulevard, the location for *The Twilight Zone™ Tower of Terror* attraction, opens at Disney-MGM Studios.

June 24, 1994: Walt Disney Pictures releases *The Lion King*, which becomes Disney's most profitable film ever.

July 3, 1994: *The Lion King* soundtrack hits #1 on the Billboard chart, where it stays for nine consecutive weeks.

September 6, 1994: Disney Theme Parks welcome their one billionth guest.

October 20, 1994: The Walt Disney Company sells a portion of its shares in Euro Disney S.C.A., operator of Disneyland Paris, to a Saudi Arabian investor, reducing its ownership interest to 39%.

November 4, 1994: The first Walt Disney Gallery opens at MainPlace in Santa Ana, California.

March 3, 1995: The *Indiana Jones™ Adventure* opens at Disneyland.

March 3, 1995: *The Lion King* becomes the top-selling home video of all time, selling over 30 million units domestically and surpassing the record set in 1994 by *Snow White and the Seven Dwarfs*.

June 1, 1995: *Space Mountain* opens at Disneyland Paris.

July 13, 1995: The *Pocahontas* soundtrack reaches #1 on the Billboard chart.

July 31, 1995: The Walt Disney Company announces its intention to acquire Capital Cities/ABC for approximately \$19 billion.

December 11, 1995: Disney completes the purchase of the Pan Pacific Hotel, just south of The Disneyland Hotel, and renames it the Disneyland Pacific Hotel.

January 4, 1996: Stockholders of Disney and Capital Cities/ABC approve the merger in their respective Special Meetings of Shareholders held in New York City.

February 6, 1996: Richard Nanula, who left the post of chief financial officer in 1995 to run The Disney Store Worldwide, returns as chief financial officer and senior executive vice president.

February 9, 1996: The acquisition of Capital Cities/ABC becomes effective and CCB stock trades for the last time.



Top: In December 1995, Disney acquired the Pan Pacific Hotel and renamed it the Disneyland Pacific Hotel. Above: *The Lion King* home video is the top-selling video of all time.



Top: ABC is known for its extensive and detailed news coverage. Above: The ESPN brand is a powerful asset for The Walt Disney Company.



Top: Mickey's Toon Town, the home of many Disney characters, is a favorite destination for many of the younger guests at Disneyland. Above: ESPN-The Store combines the strength of the ESPN brand and Disney's expertise in retail stores.



Top: Miramax's *The English Patient* was both a financial and artistic success, earning over \$78 million at the domestic box office and the 1997 Academy Award® for Best Picture. Above: The World of Disney Store's vast array of merchandise makes it difficult for customers to leave empty-handed.

February 9, 1996: The Disney Institute opens at Walt Disney World.

February 22, 1996: Disney Online launches Disney.com, a Web site designed to promote a vast range of Disney products on the Internet.

April 3, 1996: Disney and Mattel announce an agreement to expand Mattel's production of merchandise associated with Disney characters.

May 15, 1996: Disney forms a partnership with the California Angels baseball team, in which Disney has a 25% interest and operating control.

May 22, 1996: The world's largest Disney Store to date, at 40,000 square feet, opens on New York's Fifth Avenue and sets the all-time record for single-day volume in a Disney Store.

May 23, 1996: Disney joins McDonald's in a 10-year multinational marketing alliance linking McDonald's 18,700 restaurants to Disney film releases, theme parks and home video releases.

July 17, 1996: Disney announces plans to open Disney's California Adventure theme park in 2001 as part of the expanded Disneyland Resort in Anaheim.

August 29, 1996: Disney/ABC International Television and the KirchGroup enter an exclusive 10-year pay television agreement that provides this German media group with the rights to Disney's films in Germany and German-speaking Europe.

October 1, 1996: Walt Disney World begins a 16-month-long celebration of its 25th anniversary.

October 1, 1996: The 52,000 square foot World of Disney Store opens at Walt Disney World.

November 1, 1996: ESPN, Inc., launches ESPNNews, a 24-hour-a-day sports news network.

November 18, 1996: Radio Disney, a live, music-intensive radio network for children debuts, offering fun, high-energy entertainment and family-oriented programming for kids under the age of 12.

November 22, 1996: Disney sells Los Angeles Television Channel 9, KCAL, to Young Broadcasting Inc., New York, for \$387 million, a condition of the ABC acquisition.

November 27, 1996: A live action version of *101 Dalmatians* is released and breaks the record for the biggest theatrical Thanksgiving opening ever.

November 27, 1996: Disney Interactive introduces the *101 Dalmatians Animated StoryBook*, its first computer software title released simultaneously with the film.

January 28, 1997: Comcast Corporation and ABC Cable Networks agree to form a new organization to acquire a majority interest in E! Entertainment Television, a cable service that provides entertainment programming as well as news and information about the entertainment world and its personalities.

February 21, 1997: Club Disney, an interactive children's developmental play center and Disney's first regional entertainment concept, opens its first unit in Thousand Oaks, California.

February 24, 1997: Disney announces a joint venture with Pixar to create five animated films over the next 10 years.

March 25, 1997: Disney announced that its employees will commit one million hours of volunteer service through the year 2000 in response to the Presidents' Summit for America's Future.

March 28, 1997: Walt Disney World opens the Wide World of Sports complex with an Atlanta Braves pre-season baseball game.

Disney Through the Decades

April 2, 1997: Disney announces the launch of the The Disney Channel-Middle East, bringing Disney programming seven days a week, 24 hours a day, to 23 nations in the Middle East and North Africa.

April 3, 1997: Disney purchases a significant equity stake in Starwave Corporation, a leading producer of Internet media, and assumes operational control of the company.

April 4, 1997: Knight-Ridder, Inc. announces an agreement with Disney to purchase four newspapers owned by ABC, Inc., for \$1.65 billion.

April 8, 1997: Disney Channel and ESPN reach a multi-year distribution agreement with TCI Communications Inc.

April 14, 1997: ABC, Inc. signs agreements under which ABC Radio will acquire two radio stations: WJZW-FM in Washington DC, and WDRQ-FM in Detroit.

April 23, 1997: Disney Online introduces Disney's Daily Blast, the Company's first major offering of kids' content and programming on the Internet.

May 6, 1997: ESPN announces *ESPN Magazine*, a new sports magazine embodying the style of ESPN, to debut in early 1998.

July 21, 1997: Disney agrees to purchase Mammoth Records, one of the top independent labels in the music industry.

August 1, 1997: Coronado Springs Resort opens at Walt Disney World.

August 6, 1997: Disney announces its second regional entertainment concept, DisneyQuest, a high-tech virtual-reality entertainment center to open in Orlando in 1998 and Chicago in 1999.

September 3, 1997: ESPN reaches an agreement to acquire Classic Sports Network which features the greatest games, heroes and stories in the history of sports.

September 4, 1997: Buena Vista Home Entertainment announces that it is entering the Digital Video Disc (DVD) market in the US.

September 15, 1997: Downtown Disney West Side opens at Walt Disney World, showcasing a House of Blues, a Wolfgang Puck's restaurant, Bongos Cuban Café, Cirque du Soleil and a Virgin Megastore.

September 16, 1997: ESPN-The Store debuts in Glendale, California.

September 28, 1997: *The Wonderful World of Disney* returns to its original prime-time home on ABC.

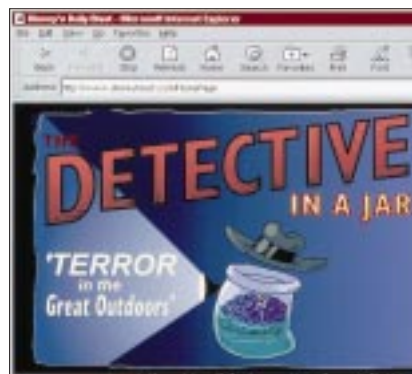
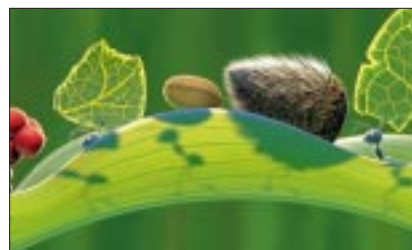
October 14, 1997: ESPN announces the launch of The ESPN Zone, a sports-themed dining and entertainment venue.

November 13, 1997: The Lion King debuts on Broadway in the newly refurbished New Amsterdam Theatre.

November 26, 1997: Oriental Land Company announces its intent to proceed with Tokyo DisneySea, a new theme park adjacent to Tokyo Disneyland.



Club Disney brings quality Disney entertainment to a local level.



Top: *A Bug's Life* will be Disney's second picture produced in association with Pixar.

Above: Disney's Daily Blast (www.Disneyblast.com) is quickly becoming a popular destination for kids on the Internet.



Top: *The Lion King* has had record-shattering success on Broadway since opening night on November 13, 1997. Above: Downtown Disney West Side makes Walt Disney World nightlife even more exciting, adding new restaurants, clubs and stores.

Condensed Consolidated Statements of Income

(In millions, except per share data)

Year Ended Sept. 30	1997	1996	1997	1996
Revenues	Pro Forma¹		As Reported	
Creative Content	\$10,098	\$9,564	\$10,937	\$10,159
Broadcasting	6,501	6,009	6,522	4,078
Theme Parks and Resorts	5,014	4,502	5,014	4,502
	21,613	20,075	22,473	18,739
Costs and Expenses				
Creative Content	8,405	8,129	9,055	8,598
Broadcasting	5,216	4,925	5,228	3,296
Theme Parks and Resorts	3,878	3,512	3,878	3,512
	17,499	16,566	18,161	15,406
Operating Income				
Creative Content	1,693	1,435	1,882	1,561
Broadcasting	1,285	1,084	1,294	782
Theme Parks and Resorts	1,136	990	1,136	990
	4,114	3,509	4,312	3,333
Gain on sale of KCAL	0	0	135	0
Accounting change for SFAS 121	0	(300)	0	(300)
	4,114	3,209	4,447	3,033
Corporate Activities and Other	(367)	(249)	(367)	(309)
Net Interest Expense	(693)	(698)	(693)	(438)
Acquisition-related Costs	0	0	0	(225)
Income Before Income Taxes	3,054	2,262	3,387	2,061
Income Taxes	(1,282)	(988)	(1,421)	(847)
Net Income	\$1,772	\$1,274	\$1,966	\$1,214
Earnings Per Share	\$2.58	\$1.85	\$2.86	\$1.96
Net Income Excluding Non-recurring Items²	\$1,772	\$1,457	\$1,886	\$1,534
Earnings Per Share Excluding Non-recurring Items²	\$2.58	\$2.11	\$2.75	\$2.48
Average Common Shares Outstanding	687	689	687	619

Notes: 1-Pro forma adjustments reflect the acquisition of ABC, sale of KCAL and the divestiture of certain publishing operations acquired in the ABC acquisition, as if those events had occurred at the beginning of the years presented.

2-Non-recurring items refer to the gain on sale of KCAL, accounting change for SFAS 121 acquisition-related costs.

Condensed Consolidated balance Sheets

(In millions)

Year Ended Sept. 30	1997	1996
Assets		
Cash and cash equivalents	\$ 317	\$ 278
Receivables	3,726	3,343
Inventories	942	951
Film and television costs	4,401	3,259
Investments	1,897	1,009
Theme parks, resorts and other property, at cost		
Attractions, buildings and equipment	11,787	11,019
Accumulated depreciation	(4,857)	(4,448)
	6,930	6,571
Projects in progress	1,928	1,342
Land	93	118
	8,951	8,031
Intangible assets, net	16,011	18,045
Other assets	1,531	1,710
Total Assets	\$ 37,776	\$ 36,626
Liabilities and Stockholders' Equity		
Accounts payable and other accrued liabilities	\$ 5,577	\$ 5,694
Income taxes payable	995	582
Borrowings	11,068	12,342
Unearned royalty and other advances	1,172	1,179
Deferred income taxes	1,679	743
Stockholders' equity		
Common stock	8,534	8,576
Retained earnings	9,557	7,933
Cumulative translation and other	(12)	39
	18,079	16,548
Treasury stock	(462)	(462)
Shares held by TWDC Stock Compensation Fund	(332)	—
	17,285	16,086
Total Liabilities and Stockholders' Equity	\$ 37,776	\$ 36,626

Condensed Consolidated Statements of Cash Flows

(In millions)

Year Ended Sept. 30	1997	1996
Net Income	\$1,966	\$1,214
Items Not Requiring Cash Outlays		
Amortization of film and television costs	3,781	2,762
Depreciation	738	672
Amortization of intangible assets	439	301
Gain on sale of KCAL	(135)	—
Accounting change	—	300
Other	(15)	22
Changes in		
Investments in trading securities	—	85
Receivables	(386)	(426)
Inventories	(6)	(95)
Other assets	(169)	(160)
Accounts and taxes payable and accrued liabilities	566	(246)
Unearned royalty and other advances	(7)	274
Deferred income taxes	(292)	(78)
	5,098	3,411
Total Cash Provided by Operations	7,064	4,625
Investing Activities		
Proceeds from disposal of KCAL	387	—
Proceeds from disposal of publishing operations	1,214	—
Acquisition of ABC, net of cash acquired	—	(8,432)
Film and television costs	(5,054)	(3,678)
Investments in theme parks, resorts and other property, net	(1,922)	(1,745)
Investment in and loan for E! Entertainment	(321)	—
Investments, net	(25)	391
Other	(180)	—
Total Investing Activities	(5,901)	(13,464)
Financing Activities		
Borrowings	2,437	13,560
Proceeds from formation of REITs	1,312	—
Reduction of borrowings	(4,078)	(4,872)
Repurchases of common stock	(633)	(462)
Dividends	(342)	(271)
Exercise of stock options and other	180	85
Total Financing Activities	(1,124)	8,040
Increase (Decrease) in Cash and Cash Equivalents	39	(799)
Cash and Cash Equivalents, Beginning of Year	278	1,077
Cash and Cash Equivalents, End of Year	\$ 317	\$ 278

Common Stock Statistics

Year Ended Sept. 30	1997	1996	1995	1994
Stock Price				
High	\$84 1/2	\$69 3/4	\$62 3/4	\$48 5/8
Low	\$62 1/2	\$53 3/8	\$37 3/4	\$37 1/8
Close (September 30)	\$80 5/8	\$63 1/4	\$57 3/8	\$38 7/8
Cash Dividends Per Share	\$0.508	\$0.420	\$0.345	\$0.288
Quarterly Dividend as of Sept. 30	\$0.133	\$0.110	\$0.090	\$0.075
Average Shares Outstanding (in millions)	687	689**	530	545
Price/Earnings Ratio	25.4x *	23.3x *	22.1x	19.1x
Dividend Payout Ratio	16.0% *	15.5% *	13.3%	14.3%
Dividend Yield	0.7%	0.7%	0.6%	0.8%
Book Value Per Share	\$25.76	\$23.87	\$12.69	\$10.51
Market Value of Equity (in millions)	\$54,099	\$42,631	\$30,076	\$20,377

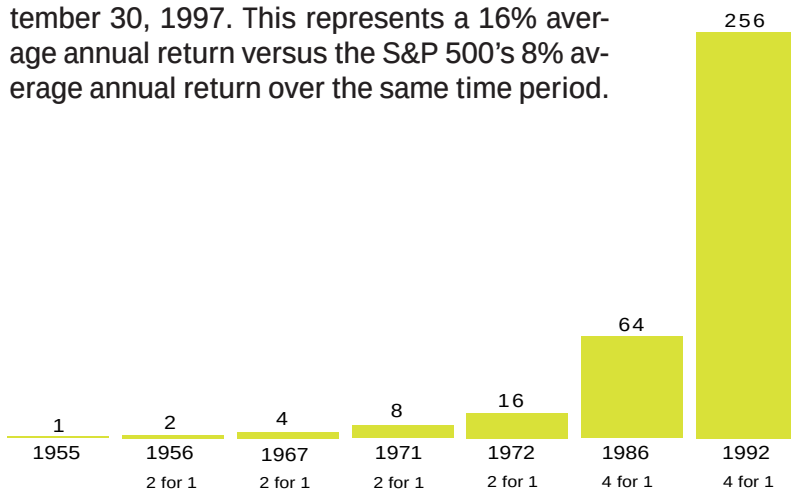
* Based on pre-goodwill pro forma earnings per share, excluding non-recurring items, of \$3.18 in 1997 and \$2.71 in 1996.

** 1996 shares outstanding are presented on a pro forma basis.

† The 1993 amounts exclude the impact of accounting changes and a Euro Disney reserve.

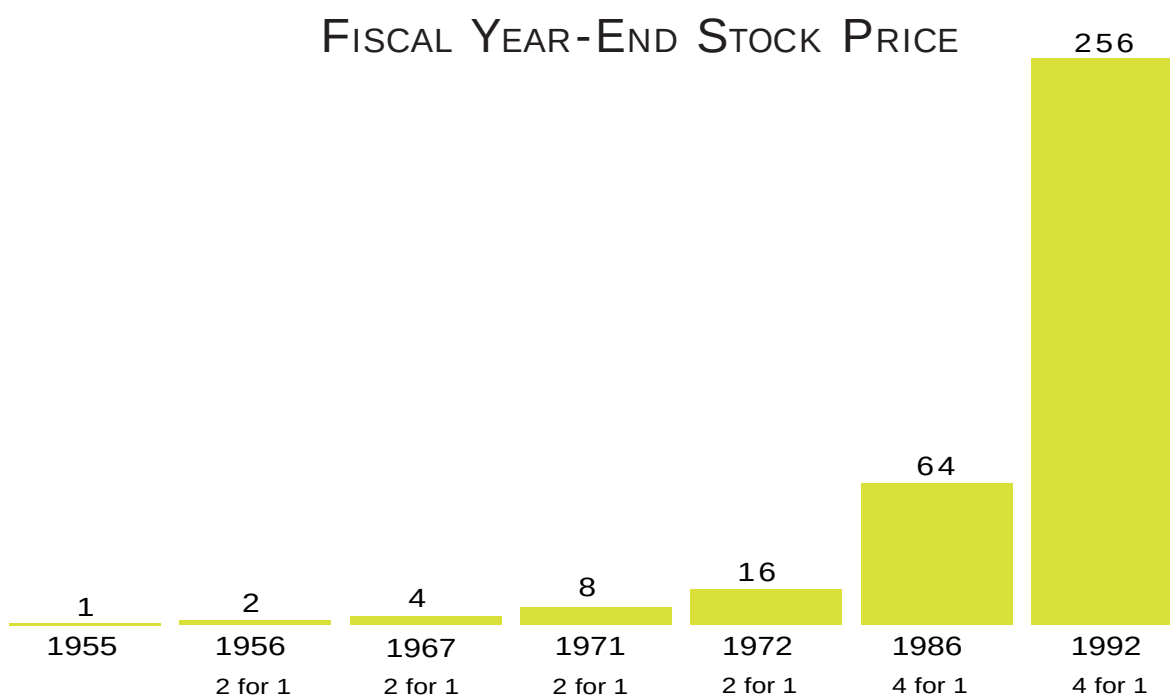
STOCK SPLITS

One share purchased in 1955 for \$34, untouched for 42 years, totaled \$20,640 as of September 30, 1997. This represents a 16% average annual return versus the S&P 500's 8% average annual return over the same time period.



Type	Record Date	Issued
2 for 1	Aug. 17, 1956	Aug. 20, 1956
2 for 1	Oct. 26, 1967	Nov. 15, 1967
2 for 1	Feb. 4, 1971	March 1, 1971
2 for 1	Dec. 6, 1972	Jan. 15, 1973
4 for 1	Feb. 10, 1986	March 5, 1986
4 for 1	Apr. 20, 1992	May 15, 1992

1993	1992	1991	1990	1989	1988	1987
\$47 ⁷ / ₈	\$41 ¹ / ₈	\$32 ¹ / ₂	\$34 ¹ / ₈	\$31 ¹ / ₈	\$20	\$20 ⁵ / ₈
\$33 ¹ / ₄	\$25 ⁷ / ₈	\$21 ¹ / ₂	\$21 ²³ / ₃₂	\$15 ¹ / ₈	\$10 ⁵ / ₁₆	\$9 ⁷ / ₈
\$37 ³ / ₄	\$36 ¹ / ₄	\$28 ¹ / ₂	\$22 ²¹ / ₃₂	\$30 ⁷ / ₃₂	\$16 ¹ / ₃₂	\$19 ¹³ / ₃₂
\$0.240 \$0.063	\$0.201 \$0.053	\$0.168 \$0.044	\$0.139 \$0.036	\$0.115 \$0.030	\$0.095 \$0.025	\$0.080 \$0.020
545	537	533	549	552	550	551
23.2x †	23.8x	23.8x	15.1x	23.8x	16.9x	24.0x
14.7% †	13.2%	14.0%	9.3%	9.1%	10.0%	9.9%
0.6%	0.6%	0.6%	0.6%	0.4%	0.6%	0.4%
\$9.39	\$8.97	\$7.43	\$6.62	\$5.62	\$4.43	\$3.50
\$20,215	\$19,010	\$14,843	\$11,944	\$16,354	\$8,542	\$10,223



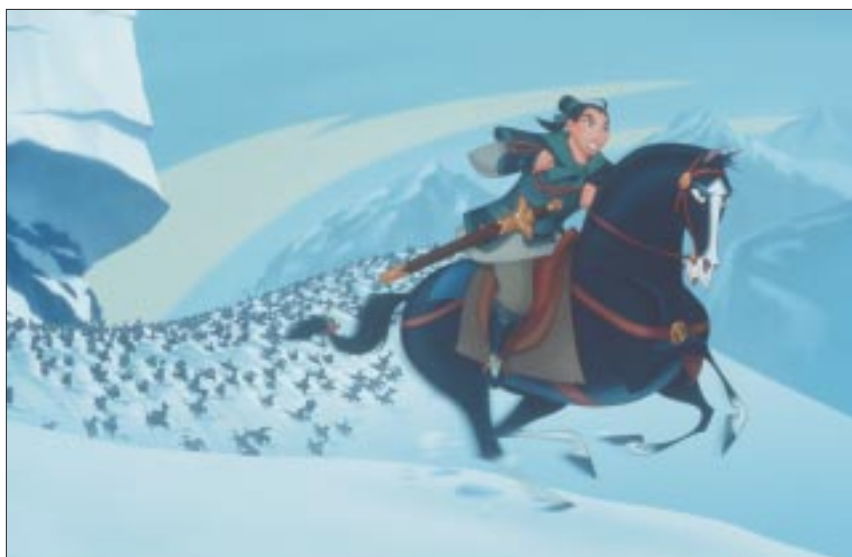
Key Financial Ratios

Year Ended Sept. 30	1997	1996
Operating Performance		
Operating income/total revenues	19.0%	17.5%
Income before income taxes/total revenues	14.1%	12.8%
Net income/total revenues	8.2%	7.3%
Return on Investment		
Net income/average stockholders' equity	10.6%	9.2%
Net income/average total assets	4.8%	4.0%
Capital Structure		
Borrowings/average stockholders' equity	66.3%	78.2%
Borrowings/average total book capitalization	29.8%	33.9%
Borrowings/total market capitalization	20.5%	29.0%
Debt Service Coverage		
Income before net interest and taxes/net interest	5.4x	4.7x

Note: Revenues, income and 1996 balance sheet information are presented on a pro forma basis, excluding non-recurring items.



Left: Walt Disney World's 25th anniversary has attracted millions of guests during the last year. Below, left: *Mulan*, Disney's next major animated feature, is based on a Chinese legend. Below: Roy E. Disney, vice chairman of the Board and chairman of Feature Animation, is the son of Roy O. Disney and nephew of Walt Disney.



Creative Content



Top: *Con Air*, a summer blockbuster starring Nicolas Cage, contributed to Disney's success this year.

Above: Winnie the Pooh continues to gain popularity, resulting in strong Pooh merchandise performance.

BUENA VISTA HOME VIDEO TOP-SELLING DOMESTIC TITLES

Title	Industry Rank
The Lion King	1
Snow White and the Seven Dwarfs	2
Aladdin	3
Beauty and the Beast	4
Cinderella	5
Toy Story	6
Bambi	7
Pocahontas	9
101 Dalmatians (animated)	11
Pinocchio	12
The Fox and the Hound	13
Fantasia	15
Sleeping Beauty	18
The Aristocats	19

TOP-SELLING INTERNATIONAL TITLES

Title	Industry Rank
The Lion King	1
Snow White and the Seven Dwarfs	2
Aladdin	3
The Jungle Book	4
101 Dalmatians (animated)	5
Beauty and the Beast	6
Toy Story	7
Pocahontas	9
Bambi	10

Rankings as of Sept. 30, 1997.

Fiscal Year Domestic Animated Release Schedule

Theatrical

→ Hercules

Home Video

→ James and the Giant Peach

→ Toy Story

→ Bambi

→ The Hunchback of Notre Dame

→ Fun and Fancy Free

→ Pooh's Grand Adventure

→ Sleeping Beauty

→ Toy Story

→ Oliver & Company

→ James and the Giant Peach

→ The Hunchback of Notre Dame

→ Cinderella

→ Pocahontas

→ The Many Adventures of Winnie the Pooh

→ The Aristocats

→ Aladdin and the King of Thieves

→ Oliver & Company

→ A Goofy Movie

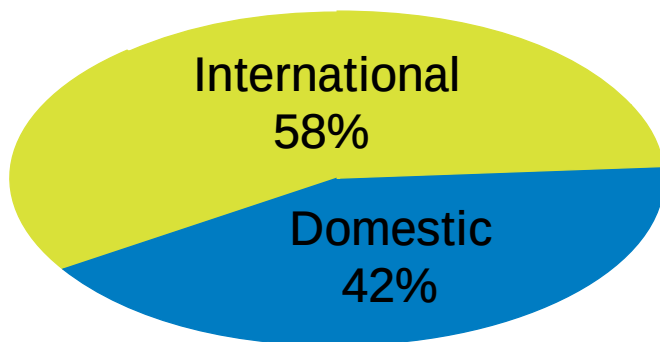
→ Pocahontas

→ Snow White and the Seven Dwarfs

→ The Lion King

→ A Goofy Movie

1997 MERCHANDISE LICENSING REVENUES



THE DISNEY STORE, INC.

	93	94	95	96	97
N. America	214	273	337	402	460
Europe	19	37	63	82	101
Asia-Pacific	6	14	29	46	75
Total	239	324	429	530	636

(Stores as of 9/30)

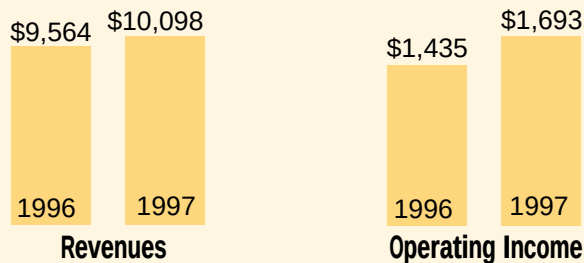
FAST FACTS

Mulan, due to be released in June 1998, will be Disney's 36th full-length animated feature.

Creative Content results benefited from five fiscal 1997 releases that made roughly \$100 million or more at the domestic box office: *Ransom*, *101 Dalmatians*, *Con Air*, *Hercules*, and *George of the Jungle*.

Buena Vista International passed \$1 billion at the box office this year, faster than any other distributor ever has, and became the first international distributor to reach this figure three years in a row.

Creative Content Pro Forma



(In millions)

Broadcasting

OWNED AND OPERATED
TV STATIONS

City	Station	Channel
New York	WABC	7
Los Angeles	KABC	7
Chicago	WLS	7
Philadelphia	WPVI	6
San Francisco	KGO	7
Houston	KTRK	13
Raleigh-Durham	WTVD	11
Fresno	KFSN	30
Flint	WJRT	12
Toledo	WTVG	13

DISNEY'S CABLE HOLDINGS

Channel	Disney's Interest	Launch Date
ESPN	80%	Sept. 1979
ESPN2	80%	Oct. 1993
ESPNNews	80%	Nov. 1996
Disney Channel	100%	Apr. 1983
A&E	37.5%	Feb. 1984
History Channel	37.5%	Jan. 1995
Lifetime	50%	Feb. 1984
E! Entertainment	39.6%	June 1990
Classic Sports Network	80%	May 1995

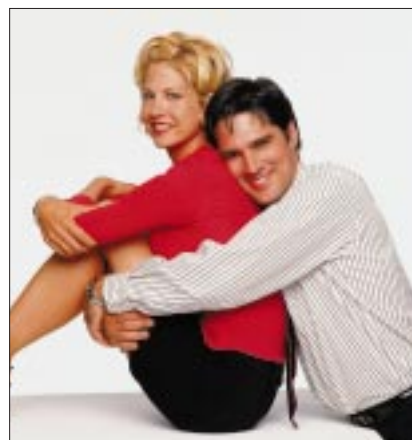
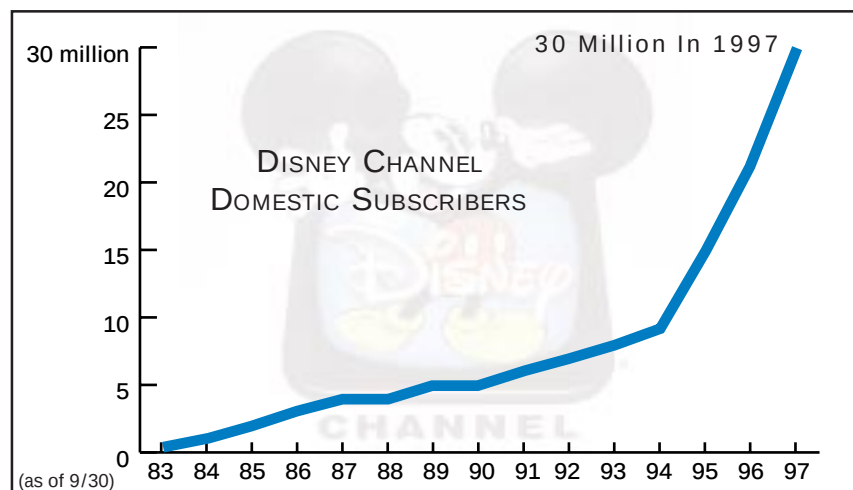
RADIO STATION LIST

City	AM Station	
New York	WABC	770 ¹
Los Angeles	KABC	790 ²
	KTZN	710 ³
Chicago	WLS	890 ¹
San Francisco	KGO	810 ¹
	KSFO	560 ²
Detroit	WJR	760 ¹
Dallas/Ft. Worth	WBAP	820 ¹
Washington, D.C.	WMAL	630 ¹
Atlanta	WDWD	590 ³
Minneapolis/St. Paul	KDIZ	1440 ³

Formats: 1-News/Talk; 2-Talk; 3-Radio Disney

City	FM Station	
New York	WPLJ	95.5 ¹
Los Angeles	KLOS	95.5 ²
Chicago	WXCD	94.7 ²
Detroit	WPLT	96.3 ⁵
	WDRQ	93.1 ⁴
Dallas/Ft. Worth	KSCS	96.3 ³
Washington, D.C.	WRQX	107.3 ¹
	WJZW	105.9 ⁶
Atlanta	WKHX	101.5 ³
	WYAY	106.7 ³
Minneapolis/St. Paul	KQRS	92.5 ²
	KXXR	93.7 ²
	KZNR	105.1 ⁵
	KZNT	105.3 ⁵
	KZNZ	105.7 ⁵

Formats: 1-Adult Contemporary; 2-Rock; 3-Country; 4-Dance/Top 40; 5-Alternative; 6-Smooth Jazz

Top: *NFL Countdown* continues its 11th year on ESPN.Above: *Dharma & Greg* is a popular addition to ABC's 1997/98 prime time line-up.

FAST FACTS

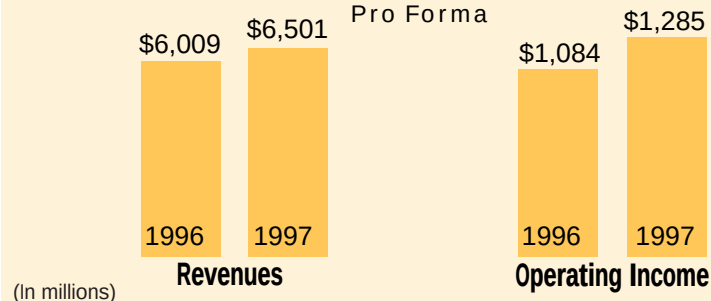
At the end of fiscal 1997, ESPN reached 152 million households internationally. Domestically, ESPN played in 72 million households, 50 million households subscribed to ESPN2 and ESPNNews, at the end of its first year, boasted roughly 5 million subscriber households.

There are currently six international Disney Channels, each specifically tailored to a particular market. The Channels operate in Taiwan, the United Kingdom, Australia, Malaysia, France, and the Middle East.

Monday Night Football aired its 28th season on ABC in 1997.

Broadcasting

Pro Forma



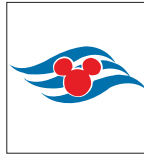
Theme Parks and Resorts



ADULT 1-DAY PASS PRICE HISTORY

Walt Disney World	Calendar Year	Disneyland
\$28.00	1987	\$21.50
28.00	1988	23.50
30.65	1989	25.50
32.75	1990	27.50
34.85	1991	27.50
35.90	1992	28.75
36.95	1993	30.00
38.00	1994	31.00
39.22	1995	33.00
40.81	1996	34.00
42.14	1997	36.00

Prices include sales tax where applicable



DISNEY CRUISE LINE

Disney will take to the seas in April 1998 with the launch of *Disney Magic*, followed by *Disney Wonder* in December 1998. Each ship has 875 state-rooms and will sail from Port Canaveral, Florida, on a three- or four-day cruise with ports of call at Nassau and Castaway Cay, Disney's private island.

DISNEY'S ANIMAL KINGDOM

The fourth Walt Disney World theme park opens in April 1998. At over 500 acres, the park will be home to more than 200 species of animals and 4,000 varieties of trees and plants. Themed lands include: The Oasis, Safari Village, Dinoland U.S.A., Character Grove (working title), Conservation Station, Africa and, later, Asia.

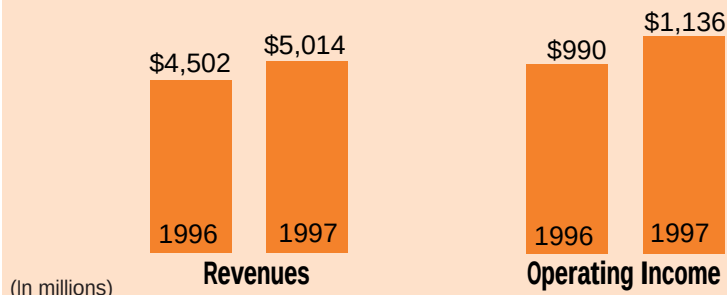


Top, left: The renovated Tomorrowland at Disneyland, opening in Spring '98. Middle, left: In August, 1997, the opening of Coronado Springs brought 1,967 new hotel rooms and an additional 95,000 square feet of convention space to Walt Disney World. Left: Disney's Theme Parks make all their guests feel young.

RESORTS AND CONVENTION SPACE

Walt Disney World	Opening Date	Class	Hotel Rooms	Gross Meeting Space (Sq. Ft.)
Contemporary Resort	Oct-71	Premium	1,041	90,000
Polynesian Resort	Oct-71	Premium	853	0
Fort Wilderness Campsites	Nov-71	—	784	0
Fort Wilderness Trailers	Nov-71	—	408	0
Disney Institute (nee Disney Village Resort)	Jan-72	Premium	584	0
Grand Floridian Beach Resort	Jul-88	Premium	900	40,000
Caribbean Beach Resort	Oct-88	Moderate	2,112	0
Yacht Club Resort	Nov-90	Premium	630	73,000
Beach Club Resort	Nov-90	Premium	583	0
Port Orleans	May-91	Moderate	1,008	0
Dixie Landings	Feb-92	Moderate	2,048	0
All-Star Sports Resort	May-94	Economy	1,920	0
Wilderness Lodge	May-94	First Class	728	0
All-Star Music Resort	Nov-94	Economy	1,920	0
BoardWalk Inn	Jul-96	Premium	378	20,000
Coronado Springs	Aug-97	Moderate	1,967	95,000
<u>Disneyland</u>	<u>Acquired</u>			
The Disneyland Hotel	Summer-88	Premium	1,136	150,000
Disneyland Pacific Hotel	Dec-95	Premium	502	26,000
Total			19,502	494,000
<u>Non-Disney Owned Resorts at WDW</u>			6,280	486,854

Theme Parks and Resorts



FAST FACTS

Disney's theme parks are the most attended in the world. Current Disney Theme Parks include: Magic Kingdom, Disney-MGM Studios, Epcot, Disneyland, Tokyo Disneyland and Disneyland Paris.

Disney's Animal Kingdom, Walt Disney World's 4th gate, will open in the spring of 1998. Both Disney's California Adventure next to Disneyland and Tokyo DisneySea next to Tokyo Disneyland, are scheduled to open in 2001.

In 1997 the Magic Kingdom at Walt Disney World broke its own annual attendance record and became the highest-attended theme park in the world.

Quarterly Condensed Consolidated Pro Forma Statements of Income

(In millions, except per share data)

(Unaudited)

Quarter Ended - Fiscal 1997	Dec 31	Mar 31	Jun 30	Sep 30
Revenues				
Creative Content	\$2,962	\$2,487	\$2,004	\$2,645
Broadcasting	1,872	1,528	1,609	1,492
Theme Parks and Resorts	1,150	1,203	1,369	1,292
	\$5,984	\$5,218	\$4,982	\$5,429
Operating Income				
Creative Content	\$ 668	\$ 354	\$ 257	\$ 414
Broadcasting	469	238	337	241
Theme Parks and Resorts	238	236	390	272
	1,375	828	984	927
Corporate Activities and Other	(90)	(108)	(69)	(100)
Net Interest Expense	(171)	(184)	(185)	(153)
Income Before Income Taxes	1,114	536	730	674
Income Taxes	(473)	(220)	(305)	(284)
Net Income	\$ 641	\$ 316	\$ 425	\$ 390
Earnings Per Share	\$ 0.93	\$ 0.46	\$ 0.62	\$ 0.57

Quarter Ended - Fiscal 1996	Dec 31	Mar 31	Jun 30	Sep 30
Revenues				
Creative Content	\$2,812	\$2,287	\$2,034	\$2,431
Broadcasting	1,790	1,369	1,499	1,351
Theme Parks and Resorts	994	1,055	1,249	1,204
	\$5,596	\$4,711	\$4,782	\$4,986
Operating Income				
Creative Content	\$ 618	\$ 233	\$ 249	\$ 335
Broadcasting	341	198	309	236
Theme Parks and Resorts	196	202	350	242
	1,155	633	908	813
Accounting change for SFAS 121	0	(300)	0	0
	1,155	333	908	813
Corporate Activities and Other	(24)	(98)	(66)	(61)
Net Interest Expense	(167)	(189)	(171)	(171)
Income Before Income Taxes	964	46	671	581
Income Taxes	(418)	(31)	(289)	(250)
Net Income	\$ 546	\$ 15	\$ 382	\$ 331
Earnings Per Share	\$ 0.79	\$ 0.02	\$ 0.55	\$ 0.48
Net Income Excluding Non-recurring Items		\$ 198		
Earnings Per Share Excluding Non-recurring Items		\$ 0.29		

Note: Pro forma adjustments reflect the acquisition of ABC, sale of KCAL and the divestiture of certain publishing operations acquired in the ABC acquisition, as if those events had occurred at the beginning of the years presented.

The Company Tree

CREATIVE CONTENT

Walt Disney Studios
 Theatrical Films
 Miramax
 Home Entertainment
 Network TV Production
 Hollywood Records
 Mammoth Records
 Stage Plays

 Television
 Production/Distribution
 TV Network Productions
 Domestic Distribution
 International Distribution

 Consumer Products
 Merchandise Licensing
 The Disney Store
 Walt Disney Records
 Disney Publishing
 Walt Disney Art Classics
 Disney Direct Marketing
 Disney Interactive
 Disney Online

 Fairchild Publications

 Televentures

BROADCASTING

Cable Network & International
 ESPN
 Disney Channel

 ABC Broadcast Network

 TV Stations

 Radio Network

 Radio Stations

THEME PARKS AND RESORTS

Walt Disney Attractions
 Disneyland Resort
 Walt Disney World Resort
 Disney Vacation Club
 Disney Cruise Line
 Tokyo Disneyland

 Walt Disney Imagineering

 Anaheim Sports
 The Mighty Ducks of Anaheim
 The Anaheim Angels

 Disney Regional Entertainment
 Club Disney
 DisneyQuest
 The ESPN Zone

"In this painting, I have attempted to convey my vision of a memory of a day at Disney's Animal Kingdom — the highlights of the day and the most vivid moments of the experience."

Joe Rohde

Principal creative executive of Disney's Animal Kingdom
and illustrator of the cover of this year's Fact Book.



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